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New Volatility Tools for a New Year | SpotGamma Weekly 12/17/23

1 message

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17 décembre 2023 à 23:17

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New Volatility Tools for a New Year

Triple Witching concluded on Friday, with the potential recoil of it in the upcoming week being the main significance. Market gamma has been at extreme highs heading into Triple Witching at 3+ market gamma readings (with a theoretical max of 4).

It was the normal course for market gamma to peak here given that Friday stood out at as having the single most amount of gamma expiring in one day for the whole year, which is normal for December Triple Witching.

Now in the process of recovering from Triple Witching, support and resistance can be considered weaker for roughly the next few market days. This is directly related to the strong gamma removal, which creates a short-term theoretical edge for long gamma type positions.

In general, what volatility is telling us is that long VX traders are playing chicken with a volatility market that keeps sinking to new relative lows.

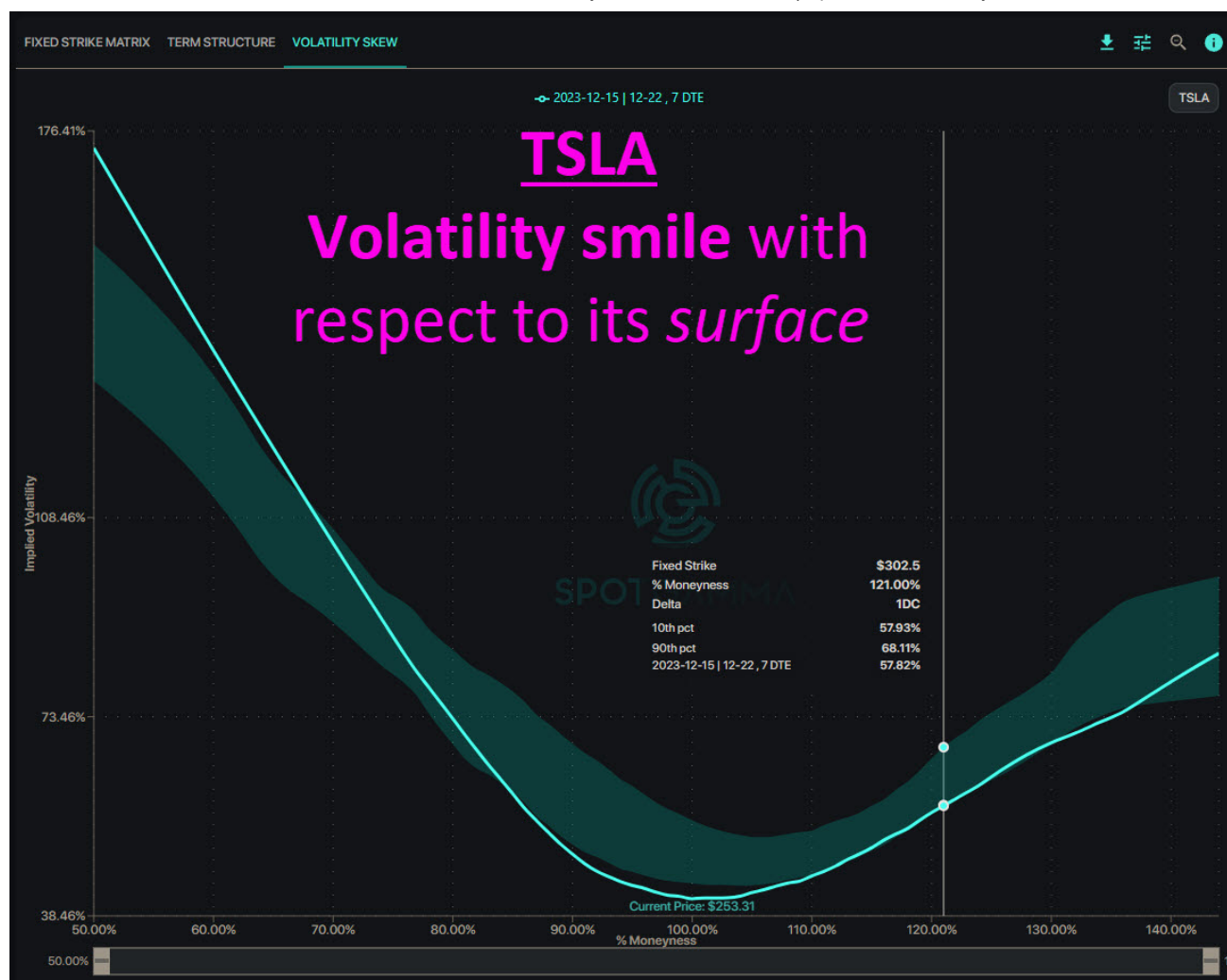
As of tomorrow morning, we will be releasing the Volatility Dashboard as a free upgrade for Alpha subscribers. These are real-time tools that work on both stocks and indices.

For example, in this view of TSLA here, the IV (implied volatility) per strike is shown for each of these Friday TSLA expirations (compared to the IV on these same strikes 60 days ago). This can be configured to any timeframe you want.



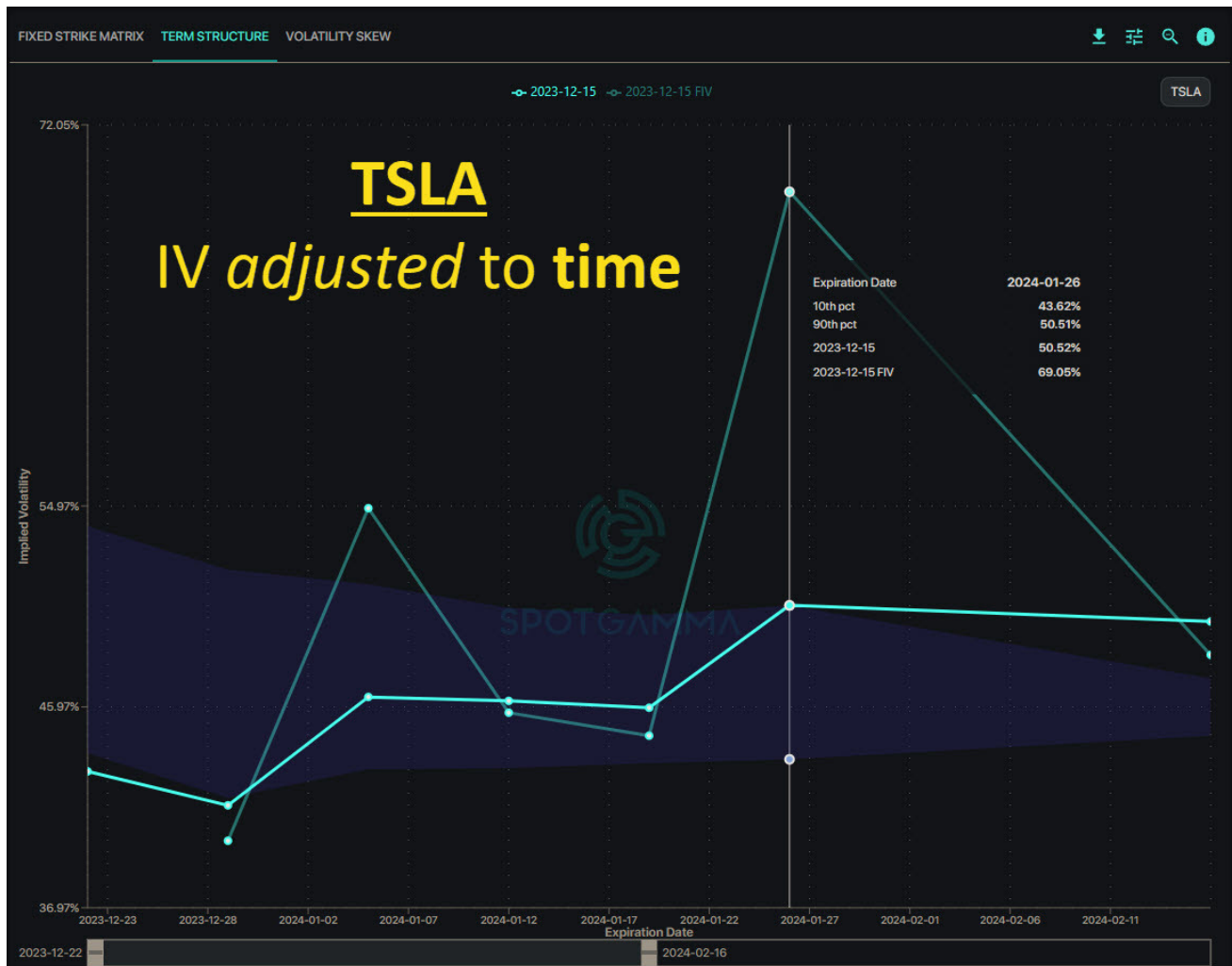
As a bonus feature that you can toggle on or off, those gold boxes are drawn automatically to identify apparent mispricings in the options chain. If you look closely at the prices above and below where the yellow boxes are, you can see how it highlights a discontinuity in the prices.

Another practical way to evaluate IV is to compare individual strikes (or deltas) as a volatility smile. We take that a step further here by showing you where each part of the volatility smile falls within its history. If near the edges of the cloud showing the range, then IV is near the extremes compared to recent data.

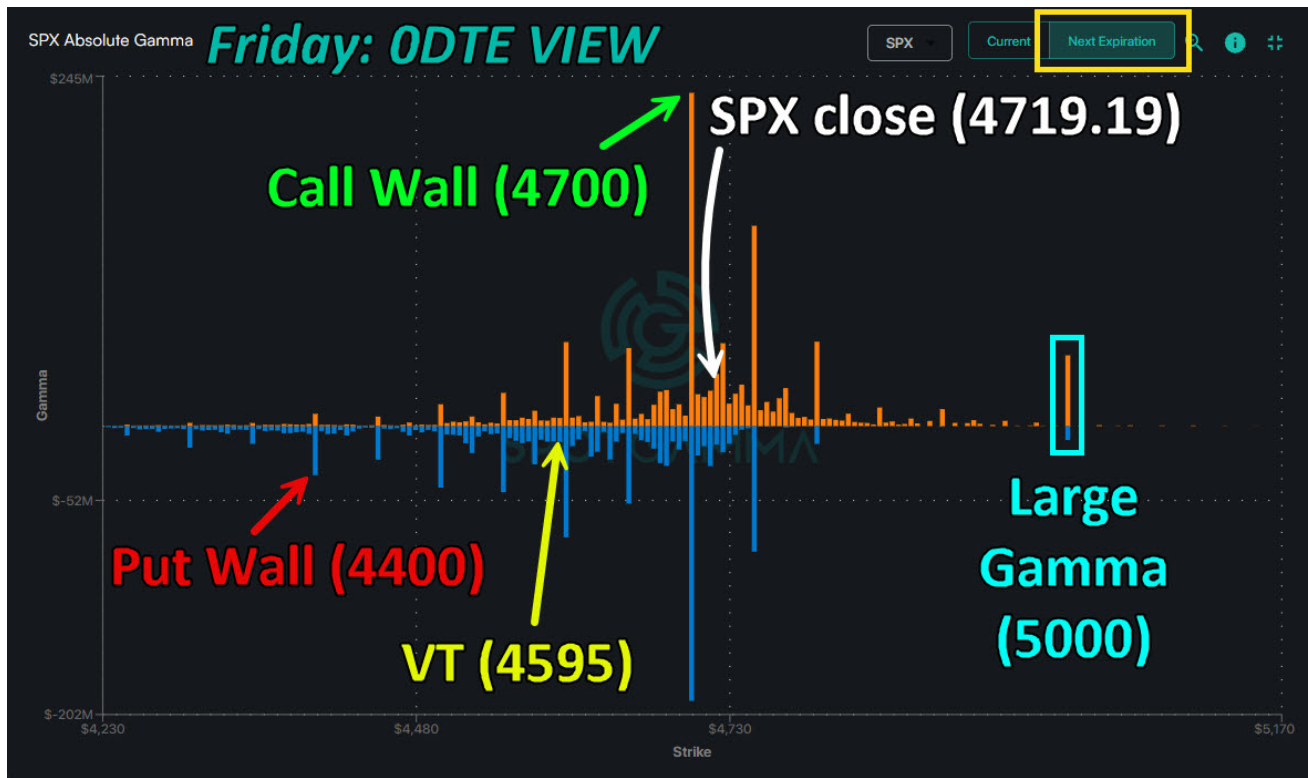


Awareness of the term structure is also strategically important; however, it can be difficult to compare IV on different dates since the amount of time remaining (DTE) affects the meaning and implications of IV. This is because options with longer duration have more vega, which means that a larger slice of what makes up the options price has to do with the level of IV.

We offer a feature to standardize vega for an adjusted look at how IV compares on different dates. This is shown here by the lighter aqua line. The main idea of doing this is to see an adjusted view to help ensure that we have edge from buying cheaper IV and selling more expensive IV.



Heading into the Friday close, the price was set structurally to orbit around 4700 with high probability. This remains the major level to watch right now, with an important dynamic being how its gravitational pull will be weaker as a result of decreased market gamma on Friday. This warrants consideration for being on defense for the first few market days after this while market gamma has a chance to regenerate.



As yet another dynamic we will be facing next week, although a subordinate one unless equities begin to correct downward, is the quarterly JPM collar roll (JHEQX).

We hope that you will join us this week as we assess the likelihood of tail risk associated with the JPM collar roll, the structural aftermath of Triple Witching, and report on what the most likely impacts of that will be on volatility and price action. We would also love to see you join us in our members-only Discord.

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